

OI pitch deck

Write is disabled this session, so the deck is below rather than saved to `desk/reports/`. It's ready to paste into `OI_PITCH_DECK_20260817.md`.

PITCH — OI — VERDICT: PROPOSED — PENDING ADJUDICATION — do not buy at \$6.62; no position, no orders, no size; reopen only on a fundamental or price gate below.

O-I Glass, Inc. (NYSE: OI) — CIK 812074. Tape \$6.62, 52-week range \$6.58–\$16.91, down 61% from the high and sitting 1% off the low. We hold none of it and have no orders working. Written from the red/blue court of 2026-08-18 on the machine-built evidence pack of 02:21Z.

What we believe

O-I Glass makes glass bottles and jars. It is the biggest one in the world, and its European business just fell apart: segment operating profit dropped by about \$85M year over year, margin went from roughly 12% to under 1%, and the company wrote off **all** of Europe's goodwill — \$873M — plus took a \$96M valuation allowance against European deferred tax assets.

The original idea was that this is a cyclical trough in European bottle prices. Buy the most levered operator into the bottom of a price cycle, and you get paid double when price mean-reverts.

After the court, we do not believe that. Here is what we believe instead:

- 1. The European problem is mostly O-I's own, not the industry's — but it is a timing problem, not a permanent one.** Two listed European competitors reported the same quarters and did better. That kills the “industry price war” framing. But the reason they did better is that they *finished* the plant-closure programs O-I is still in the middle of. Verallia said so directly: its European margin expanded on footprint cuts and a 3.2% reduction in net cash costs. O-I is running the same program (“Fit to Win”), booked \$53M of benefit in Q2, and has spent ~\$700M of cumulative charges getting there. That is a lag. Lags close. It is not proof of a permanent cost disadvantage — nobody in this court produced an actual unit-cost comparison.
- 2. Management has signed a statement that Europe will not recover soon.** A deferred-tax valuation allowance requires management to assert it is more likely than not that the taxable income will *not* show up. You do not take one on a business you think is at a cyclical bottom. This is the single most credible bearish fact in the file, because it comes from the people with the furnace-level data and it carries auditor sign-off.

3. **The balance sheet makes this a stub, not a stock.** 153,659,747 shares at \$6.62 is \$1,017M of market value against \$4,647M of net debt (long-term \$4,793M + short-term \$193M – cash \$339M). Debt is 4.6x the equity. Small moves in earnings become enormous moves in the share price, in both directions.
4. **The decisive reason not to buy is none of the above.** It is that we do not actually disagree with anyone. Our own valuation math on management's guidance midpoint produces **\$7.34/share**. RBC's price target is **\$8**, BofA's is **\$11**. Our number sits *inside* the street's range and *below* its lowest published target. There is no number where we differ from consensus with a named mechanism for the difference. Buying here would score our fair value against theirs with nothing between them. That is a reject, and it is worth saying plainly that **neither of our benches led with this** — blue only reached it as an afterthought finding.
5. **It is not permanently uninvestable.** There is no covenant cliff, no forced seller, no dilution pending. The option does not expire. That is precisely why the answer is “wait for a price or a fact,” not “avoid forever.”

What the market believes

The market believes roughly what we believe, which is the problem.

At \$6.62 the stock is priced at about **\$1,030M of forward EBITDA** on the same 5.5x multiple both benches used — essentially management's own guidance midpoint, no better and no worse. The market is not pricing a disaster and it is not pricing a recovery. It is taking the guide at face value.

Around that, the sell side is still moving down: BofA to Underperform (\$11 target), RBC to Sector Perform (\$8, citing competitor oversupply and free cash flow “barely breakeven” in 2027), Citi cut. Short interest is 5.62% of float and rising (+1.93% month over month), about 5 days to cover. Three weeks after the print the stock is 1% off its 52-week low — there has been no absorption of the bad news, and downgrades are still landing.

Two things follow. First, we would be buying into flow we can see coming. Second, the fact that the stock has not bounced is itself information: nobody with a research budget has found the trough thesis compelling enough to step in front of it.

Why we might have edge

Honestly: thinner than it looked going in. What survives:

- **The peer comparison is not what the bear case says it is.** Red's kill used O-I's *European segment operating profit margin* (0.9%) against Verallia's *group adjusted EBITDA margin* (20.7%) — two different measures at two different perimeters. On a like-for-like basis the gap is roughly **8% vs 15.8%**, about 2x, not 23x. Most of the desk will read the headline comparison, not the corrected one.

- **The industry price event is real, in the quarter that matters.** Red used Verallia's first-half numbers, where margin expanded. Verallia's *Q2 standalone* adjusted EBITDA fell 5.6% to €192M with margin down 116bps to 21.4%; Vidrala's organic revenue fell 3.8% on softer price *and* volume. The trend turned inside the half that red used to argue it hadn't.
- **The downside case is not zero.** Red's own table showed a wipeout at \$0.90B of EBITDA — but only by applying 5.5x to the good case and 5.0x to the bad one. At a consistent 5.5x, the \$0.90B case is **\$1.97/share**, a 70% loss, not a 100% one. Consistent inputs change the shape of this from “uninvestable” to “high variance,” and high variance is a sizing question.
- **The option does not expire.** \$1.11B undrawn on a \$1.25B revolver, \$339M cash, and the only financial covenant is *Secured* leverage $\leq 2.50x$ against a debt stack that is mostly unsecured. There is no mechanism that forces this company to sell equity or hand the keys over in the next several quarters. We can wait for our price. That is a genuine structural advantage over a levered name where the clock runs against you.

Why it might be priced in

- **Our fair value is inside the street's range.** \$7.34 vs targets of \$8 and \$11. There is no gap to harvest.
- **Management already told everyone.** The impairment and the valuation allowance are in the filings; the guidance cut is public; EPS guidance was withdrawn. None of this is our discovery.
- **The stock has not stopped going down.** 1% off the low, three weeks post-print, with short interest rising. If there were a trough thesis with legs, this is where it would be visible.
- **The success case is still cash-flow negative.** Capex is guided to \$450M (up from \$432M) against free cash flow of **-\$50M to -\$150M**. Hitting guidance perfectly means the equity stub does not deleverage this year. There is no self-help path that pays the shareholder in 2026.
- **The bear case has a second barrel.** \$608M of goodwill remains on the books, all of it in the Americas, against \$539M of total book equity. Another write-down is available.
- **No dated event forces a re-rate.** The next print is ~49 trading days out. Nothing between here and there resolves the question.

What we checked ourselves

Both benches ran on the same brief. This is what held, what broke, and where our own work was wrong. Six of the rows below are our own errors.

Claim	How checked	Found	Confirmed?
Europe's collapse is an industry price war	Same-quarter disclosure from two listed European competitors (Verallia, Vidrala)	Both held or expanded margin over the half; O-I did not	No — the industry-wide framing fails
...but the peer gap is 23x (0.9% vs 20.7%)	Our own red bench's arithmetic, re-derived by blue	RED BENCH ERROR — units mismatch. Red compared O-I <i>segment operating profit</i> margin to Verallia	No — red's headline kill was an artifact;

Claim	How checked	Found	Confirmed?
		<i>group adjusted EBITDA</i> margin. Corrected like-for-like: ~8.0% vs 15.8% Europe-segment. Gap is ~2x	severity cut from fatal to a sizing point
...and peers were unaffected in the quarter	Our own red bench used H1, blue re-pulled Q2	RED BENCH ERROR — period cherry-pick. Verallia Q2 standalone adj. EBITDA -5.6% to €192M, margin -116bps; Vidrala organic revenue -3.8%. Red's <i>own</i> "what would change my mind" condition was already partly met by data it had	No — there is a price event; red overstated
Peers' margin gain proves a permanent cost advantage	Read the peers' own attribution	Verallia attributed it to footprint cuts and a 3.2% cash-cost reduction — the same program O-I is mid-execution on (\$53M Q2 benefit, ~\$700M cumulative charges)	Partly — it is a restructuring lag, not a proven structural gap. No unit-cost anchor exists either way
Management thinks this is structural	10-Q + 8-K: full \$873M Europe goodwill write-off <i>plus</i> \$96M European deferred-tax valuation allowance in the same quarter	Confirmed. A valuation allowance is a signed assertion that European taxable income will not materialize	Yes — strongest surviving bear fact
Europe fell for three reasons (price, energy, post-restructuring disruption)	The issuer's own 2Q26 release wording	RED BENCH ERROR — omission. The release names four causes; red dropped the fourth, two furnace events in the quarter , which is the transient one	No — attribution was incomplete in the bear's favor
Downside is a zero (-100%)	Our own red bench's stub table, recomputed	RED BENCH ERROR — inconsistent multiple. Red used 5.5x on the upside case and 5.0x on the downside case, which manufactured the zero. At a consistent 5.5x, \$0.90B EBITDA = \$1.97/share (-70%)	No — and red also used "adverse convexity" to describe a bounded-downside/levered-upside payoff, which is the opposite of what the term means
No distress, therefore no catalyst — a reason to reject	10-Q: \$1.11B revolver available, \$130M drawn, cash \$339M, covenant is <i>Secured</i> leverage ≤2.50x	Facts confirmed, inference inverted. No forced timeline means the option does not expire. That is bullish for a patient buyer, not bearish	Facts yes, direction no
The 2H cash bridge is achievable, retire the test	Decomposition: FY capex \$450M - 1H \$237M = 2H \$213M; FY FCF -\$50/- \$150M ⇒ required 2H26 operating cash flow \$500-600M vs \$616M in 2H25	RED BENCH ERROR — unadjusted benchmark. The 2H25 comparison ignores Europe now running ~\$84M/quarter lighter at segment profit. Cash fell \$759M → \$339M in the half. Test stays live	No — restored as the Oct 27 gate
Bond market confirms or denies distress	Attempted to source a secondary mark on the 9.500% 2033 notes (both benches, independently)	Not runnable. 144A/Reg S; no public secondary mark obtainable. One of the three tests the 7/10 conviction score rested on was never runnable	No — the original brief was over-scored

Claim	How checked	Found	Confirmed?
Tape price	Compared the two benches' evidence packs	COURT INTEGRITY DEFECT. Red's pack read src: ibkr_gw, \$6.686, low \$6.62. Blue's pack read src: yahoo, \$6.62, low \$6.58. The pack header states both benches receive an identical pack; they did not. Red graded blue's tape citation as "refuted"; that grade is void. Live re-pull was blocked in both sessions (broker contract-search permission denied)	No — immaterial to the verdict (1%), material to the court. Ticket it
Blue's corrected peer gap (~8.0% vs 15.8%)	Traced the input	BLUE BENCH SOFT SPOT, self-flagged. Europe D&A of ~\$50M is a <i>pro-rata estimate</i> off \$120M total quarterly D&A and Europe's ~42% revenue share. Segment D&A is not disclosed. The entire "2x not 23x" correction rests on an unsourced allocation	Estimate only — the weakest joint in the correction that overturned red

One more error that belongs to both benches: the decisive reason to reject — that our valuation lands inside the street's published range with no mechanism for a gap — appears nowhere in either bench's opening case. Red spent its fire on a peer comparison that needed a units fix; blue found the real kill only in its addendum. Both benches litigated the interesting question instead of the operative one.

Detector coverage, stated honestly: no automated detector in our library observes the thing this thesis turns on (European net glass price per tonne). Two that *could* have adjudicated the "two furnace events" claim — thermal imaging of plant activity and CO₂ point-source plume monitoring — were unrunnable because we do not have European furnace coordinates on file. Red omitted the CO₂ one from its checklist entirely. **Getting the European site coordinates is the highest-value gap in this case** and would make the next court materially better.

PROPOSED ENTRY BANDS

There is no entry. Size zero. No orders staged, no immediate buy, nothing to click. What follows is the reopen framework, built from the benches' own arithmetic.

The valuation ladder (153,659,747 shares; net debt \$4,647M; a consistent 5.5x on every row — this is red's table with blue's correction applied):

FY EBITDA scenario	Enterprise value @5.5x	Equity value	Per share	vs \$6.62 tape
\$1.20B — 2027 target achieved	\$6,600M	\$1,953M	\$12.71	+92%
\$1.05B — guidance midpoint	\$5,775M	\$1,128M	\$7.34	+11%
\$0.95B — modest miss	\$5,225M	\$578M	\$3.76	-43%

FY EBITDA scenario	Enterprise value @5.5x	Equity value	Per share	vs \$6.62 tape
\$0.90B — 14% miss	\$4,950M	\$303M	\$1.97	-70%

Read the tape back through the same math: **\$6.62 implies about \$1,030M of EBITDA**, i.e. the market is already paying guidance midpoint. That is the whole case for not buying, in one line.

Reopen gates — any one of these three restarts the work. None of them is an automatic buy.

1. **Price below \$4.50.** At \$4.50 the guidance-midpoint case (\$7.34) is +63% and the 14%-miss case (\$1.97) is -56%. Concession the court did not make explicitly: that is still only about **1.1:1** reward to risk against the stress case. \$4.50 buys us a *re-court with an honest payoff*, not a green light. If we ever transact, the size is set for a total loss of the position, because a 4.6x-levered stub can go to \$2.
2. **Q3 European segment operating profit above \$40M.** This is the restructuring-lag test. If Fit to Win is landing, it shows up here first. Reports 2026-10-27.
3. **Verallia or Vidrala reporting European margin compression of similar magnitude in Q3.** That would restore the industry-event reading and put mean reversion back on the table. Verallia's Q2 (-116bps) is already a partial hit; a second quarter makes it a trend.

Two additional facts that would independently reopen the file, from red's own change-my-mind list: any reversal of part of the \$96M European deferred-tax valuation allowance (management retracting its own structural call), or FY26 free cash flow guided back to positive with capex intact.

Trims/exits: none applicable — no position exists.

Hard no-chase rule: do not buy on strength. Above roughly \$8 we are paying more than the lowest covering analyst target for a thesis we have no differentiated number on. Strength here is a reason to close the file, not open it.

Catalyst dates: - **2026-10-27** — Q3 2026 earnings release. Derived from the release-at-T-1 pattern (Q2: release 7/28, call 7/29) reconciling with the pack's calendar estimate. **Not confirmed by a company press release.** - **2026-10-28** — Q3 2026 earnings call. **Confirmed** — named in the primary 2Q26 release. - **October 2026 (exact dates not verified)** — Verallia and Vidrala Q3 prints. Must be pulled from their investor-relations calendars before this gate is armed.

Both O-I dates are ~49 trading days out, well outside any pre-print window. **Pre-print stance: flat.**

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.5 (deck-provisional: Reopen band: guidance-midpoint value \$7.34 is +63% here against a \$1.97 stress case (-56%); triggers a)
- filing watch: 10-Q,8-K until 2027-02-13 (deck-provisional: Q3 print: European segment operating profit vs the >\$40M restructuring-lag gate, and 2H operating cash)
- dated pack OI|2026-10-27: OI: Q3 2026 earnings release - date inferred from the Q2 release-at-T-1 pattern, not company-stated. (date confirmed=False)
- dated pack OI|2026-10-28: OI: Q3 2026 earnings call - date named in the primary 2Q26 release. (date confirmed=True)
- dated pack OI|2026-10-31: OI: On-or-before placeholder for Verallia and Vidrala Q3 prints (European peer margin direction); exact dates NOT verified, must be pulled f

What remains unverified

- **Europe's D&A, and therefore the entire corrected peer comparison.** The ~\$50M figure is a pro-rata allocation of \$120M total quarterly D&A by revenue share. Segment D&A is not disclosed. If Europe is more capital-intensive than the average of the portfolio — plausible for the older footprint — the real margin gap is worse than 2x and red's structural verdict gets stronger. **This is the single most important unverified number in the deck.**
 - **The 9.500% 2033 notes' secondary price.** 144A/Reg S; no public mark. Both benches tried. The credit market's read on this company is simply unavailable to us, and one third of the original conviction score rested on it.
 - **Unit cost per tonne, O-I vs Verallia vs Vidrala.** Nobody produced it. "Restructuring lag" and "permanent cost disadvantage" are indistinguishable without it, and they have opposite investment conclusions.
 - **The 2026-10-27 release date.** Inferred from a pattern, not confirmed by the company.
 - **Verallia and Vidrala Q3 reporting dates.** Not verified. Two of our three reopen gates depend on them.
 - **One of our own citations does not match its label.** Blue cited a Verallia URL as the "H1'26 PR" — https://www.verallia.com/wp-content/uploads/2026/04/PR_Verallia_first_quarter_results_20260422.pdf — but the filename and date say *first quarter*, April 2026. The Verallia Europe-segment margin of 15.8% should be re-sourced from the actual H1 document before it is relied on again. Flagging our own sloppy citation rather than passing it through.
 - **Which tape price is real.** \$6.62 or \$6.686 — the two benches held different packs and live broker re-pull was blocked in both sessions. Immaterial at 1%, but we do not currently know our own price of record.
 - **Whether the Americas is repeating Europe.** Segment profit +22% on volumes -7% is price harvesting into falling volume — which is exactly Europe's configuration one year before its price line broke. No external anchor was run against this. It is a plausible tail, not an established finding, and it is the question the next court should open with.
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Primary sources. O-I Glass 2Q26 earnings release (issuer-hosted):

https://s206.q4cdn.com/247160171/files/doc_financials/2026/q2/1-2Q26-Earnings-Release_FINAL.pdf — this is the document that names the four causes of the European decline and the Q3 call date. The Q2 2026 10-Q is EDGAR accession 0001104659-26-088166 (filed 2026-07-29), at <https://www.sec.gov/Archives/edgar/data/812074/000110465926088166/> — note this URL is constructed from the accession number and was not itself fetched in session; the excerpt in our evidence pack was.

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Three things worth your attention beyond the deck itself:

1. **The benches received different evidence packs** (ibkr_gw \$6.686 vs yahoo \$6.62) despite the pack header asserting they were identical. Immaterial here, but it invalidated one of red's findings and it is a court-integrity bug, not a data quirk.
2. **Live broker re-pull was blocked in both bench sessions** (search_contracts permission), so no tape in this deck is live as of now.
3. **I could not save the file** — the Write tool is disabled for this session, so nothing was written to desk/reports/.